

FATF Guidance on Virtual Assets, Travel Rule & AML/CFT Compliance

Implementation Blueprint for Recommendation 16 (Wire Transfers & Inter-VASP Messaging)

Standard Setter:	Financial Action Task Force (FATF)
Specification ID:	FATF-REC-16-VA
Classification:	Global AML/CFT Anti-Money Laundering Framework
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. The Travel Rule Mandate (Recommendation 16)

Virtual Asset Service Providers (VASPs) and financial institutions must obtain, hold, and transmit required originator and beneficiary information immediately and securely when conducting virtual asset transfers above the designated threshold (USD/EUR 1,000).

2. Standardized Message Protocol (IVMS 101)

Inter-VASP communication requires standardized payload formats (InterVASP Messaging Standard IVMS 101) containing Legal Person / Natural Person names, national identifiers, account numbers, and cryptographic wallet addresses.

3. The Sunrise Problem & Cross-Border Asymmetry

To handle regulatory mismatches between jurisdictions implementing the rule at different times, compliant platforms must establish counterparty VASP verification matrices, cryptographic signature exchanges, and sanction-screening filters prior to transaction execution.

4. Real-Time Forensic Graph Analytics

High-throughput platforms integrate multi-hop clustering engines (e.g. Neo4j graph traversal) to identify high-risk nodes, mixing services, and dark-market addresses prior to releasing outbound withdrawals.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.